underserved. They should also withdraw any preferential treatment, to the extent feasible, at a commensurate pace.

Let me now turn to how banks respond to the emerging competitive challenges. I will talk specifically about public sector banks, which perhaps face the greatest challenges.

CHALLENGES FACED BY PUBLIC SECTOR BANKS

The most pressing task for public sector banks is to clean up their balance sheets, a process which is well under way. A parallel task is to improve their governance and management. Equally important is to fill out the ranks of middle management that have been thinned out by retirements, and to recruit talent with expertise in project evaluation, risk management, and IT, including cyber security.

(i) Governance

The Bank Board Bureau (BBB), composed of eminent personalities with integrity and domain experience, has taken over part of the appointments process in public sector banks. There are two ways the government still plays a role. First, the final decision on appointments is taken by the Appointments Committee of the Cabinet. Second, appointments of non-official directors onto bank boards still lie outside the BBB. As the BBB gains experience, it would make sense to allow these decisions also to be taken by it.

Over time, as the bank boards are professionalized, executive appointment decisions should devolve from the BBB to the boards themselves, while the BBB – as it transforms into the Bank Investment Company (BIC), the custodian for the government's stake in banks – should focus only on appointing directors to represent the government stake on the bank boards. It is important that bank boards be freed to determine their strategies. Too much coaching by central authorities